

⁵ See Stanley Fischer, Ratna Sahay, and Carlos A. Vegh, “Modern Hyper- and High Inflation,” National Bureau of Economic Research, Working Paper 8930, at www.nber.org/papers/w8930.

⁶ In fact, the United States has had two periods of hyperinflation. During the American Revolution, prices roughly tripled every year from 1777 through 1779, with a pound of butter costing \$12 and a barrel of flour fetching nearly \$1,600 in Revolutionary Massachusetts. During the Civil War, inflation raged at annual rates of 29% (in the North) and nearly 200% (in the Confederacy). As recently as 1946, inflation hit 18.1% in the United States.

⁷ I am indebted to Laurence Siegel of the Ford Foundation for this cynical, but accurate, insight. Conversely, in a time of deflation (or steadily falling prices) it’s more advantageous to be a lender than a borrower—which is why most investors should keep at least a small portion of their assets in bonds, as a form of insurance against deflating prices.

⁸ When inflation is negative, it is technically termed “deflation.” Regularly falling prices may at first sound appealing, until you think of the Japanese example. Prices have been deflating in Japan since 1989, with real estate and the stock market dropping in value year after year—a relentless water torture for the world’s second-largest economy.

⁹ Ibbotson Associates, *Stocks, Bonds, Bills, and Inflation, 2003 Handbook* (Ibbotson Associates, Chicago, 2003), Table 2-8. The same pattern is evident outside the United States: In Belgium, Italy, and Germany, where inflation was especially high in the twentieth century, “inflation appears to have had a negative impact on both stock and bond markets,” note Elroy Dimson, Paul Marsh, and Mike Staunton in *Triumph of the Optimists: 101 Years of Global Investment Returns* (Princeton University Press, 2002), p. 53.

¹⁰ Thorough, if sometimes outdated, information on REITs can be found at www.nareit.com.

¹¹ For further information, see www.vanguard.com, www.cohenandsteers.com, www.columbiafunds.com, and www.fidelity.com. The case for investing in a REIT fund is weaker if you own a home, since that gives you an inherent stake in real-estate ownership.

¹² A good introduction to TIPS can be found at www.publicdebt.treas.gov/of/ofinffin.htm. For more advanced discussions, see www.federalreserve.gov/Pubs/feds/2002/200232/200232pap.pdf, www.tiaa-crefinstitute.org/Publications/resdiags/73_09-2002.htm, and www.bwater.com/research_ibonds.htm.

¹³ For details on these funds, see www.vanguard.com or www.fidelity.com.

* “It is said an Eastern monarch once charged his wise men to invent him a sentence, to be ever in view, and which should be true and appropriate in all times and situations. They presented